IN THE COURT OF APPEALS OF THE STATE OF NEVADA

Case No. 84931-COA

IN THE MATTER OF SEARCH WARRANTS REGARDING SEIZURE OF DOCUMENTS, LAPTOP COMPUTERS, CELLULAR TELEPHONES, AND OTHER DIGITAL STORAGE DEVICES FROM THE PREMISES OF LAS VEGAS BISTRO, LLC AND LITTLE DARLINGS OF LAS VEGAS, LLC. LAS VEGAS BISTRO, LLC D/B/A LARRY FLYNT'S HUSTLER CLUB; AND LITTLE DARLINGS OF LAS VEGAS, LLC,
Appellants,

v.

LAS VEGAS METROPOLITAN POLICE DEPARTMENT,
Respondents.

Appeal from the Eighth Judicial District Court, the Honorable Jerry A. Wiese II Presiding

RESPONDENT'S ANSWERING BRIEF

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I. JURISDICTION AND ROUTING STATEMENT

Due to the lack of a criminal proceeding, the District Court's decision to deny the motion for return of property under NRS 179.085 is a final judgment and appealable. NRAP 3A(b)(1); *Di Bella v. U.S.*, 369 U.S. 121, 131-32, 82 S. Ct. 654, 7 L. Ed. 2d 614 (1962) (the motion is appealable when it "is solely for the return of property and is in no way tied to a criminal prosecution in esse against the movant").

On July 7, 2022, the Supreme Court issued a Notice of Transfer to Court of Appeals, pursuant NRAP 17(b).

I. ISSUES ON APPEAL

1. Whether the Instant Case is Moot because the Appellants' Property was Returned.
2. Whether the District Court Correctly Denied the Appellants' Request to Unseal the Search Warrant Affidavits.
3. Whether the District Court Properly Found that the Officers had Probable Cause to Believe that a Crime had been Committed.
4. Whether the District Court Properly Found LVMPD's Retention of the Property was Reasonable Under the Circumstances.

II. STATEMENT OF THE CASE AND SUMMARY OF THE ARGUMENT

LVMPD's Special Investigations Section (SIS) began an investigation into various Erotic Dance Establishments for the crime of Advancing Prostitution and Living from Earnings of Prostitution. After conducting several covert operations, LVMPD obtained information that entertainers at these establishments were soliciting customers for the purpose of prostitution. LVMPD also obtained other information to believe that that the crimes of Advancing Prostitution and Living from Earnings of Prostitution were occurring at such establishments, including Las Vegas Bistro, LLC d/b/a Larry Flynt's Hustler Club (Hustler Club) and Little Darlings of Las Vegas, LLC (Little Darlings). Based on the information that LVMPD obtained during its covert operations, the Honorable Judge Harmony Letizia and Judge Joseph Sciscento issued search warrants and, for good cause shown, directed the applications of those warrants to be sealed.

After the execution of the search warrants, Hustler and Little Darlings (collectively Appellants) sought to unseal the search warrant applications and quash the warrants on the basis that LVMPD lacked probable cause to obtain the warrants. Appellants further sought the return of all the property that was seized on the same basis, as well as on the basis that the electronic devices seized contained privileged information. Denying the Appellants' requested relief, the District Court found, after an in camera review of the search warrant applications and affidavits,

that LVMPD had probable cause to obtain the warrants and good cause existed to maintain the sealing of the applications and affidavits. The District Court further determined that the retention of the property was reasonable under the circumstances, including the fact that LVMPD's criminal investigation remained on-going. With respect to Appellants' concern for the privileged material contained on the devices, the District Court concluded that LVMPD's proposed search protocol was sufficient to protect any alleged privileged material. Appellants appealed the District Court's order.

This Court must affirm the District Court's order denying the request relief in its entirety. First and foremost, the property identified within the Appellants' declarations, including computers and phones, have been returned. Thus, there is no longer a justiciable controversy for this Court as the return of the property renders that portion of the appeal moot.

Second, the District Court properly found that good cause existed to maintain the sealing of the affidavits and applications in support of the search warrants. In so doing, the District Court reviewed the applications and affidavits in camera and determined that applications and affidavits contained police procedures and intelligence obtained during LVMPD's investigation that would compromise LVMPD's ability to further investigate the alleged crimes if the sensitive information were released. The District Court further reasoned that disclosure of

such materials may endanger the detectives involved and compromise the identity of various undercover detectives. This Court must give deference to these findings. *Weddell v. H20, Inc.*, 128 Nev. 94, 101, 271 P.3d 743, 748 (2012). And, the Appellants cannot demonstrate that the District Court abused its discretion in concluding that unsealing of the applications and affidavits is inappropriate. Accordingly, because Appellants failed to demonstrate good cause to unseal of the applications and affidavits, this Court must affirm the District Court's order.

Third, the District Court's finding of probable cause is fatal to Appellants' request to quash the warrant and return the property. Probable cause is determined based facts and circumstances of a particular case. *State v. McKellips*, 118 Nev. 465, 472, 49 P.3d 655, 660 (2002). In Nevada, a finding of probable cause may be based on only "slight evidence." *See Sheriff, Clark County v. Badillo*, 95 Nev. 593, 594, 600 P.2d 222 (1979). Thus, this Court reviews the District Court's finding of probable cause for an abuse of discretion. The District Court's ruling that probable cause for Advancing Prostitution and Living from Earnings of Prostitution existed within the applications and affidavits was based on the District Court's in camera review of the same. Appellants failed to demonstrate how the District Court abused its discretion, and this Court must affirm the District Court's finding. *See Republican Att'ys Gen. Ass'n v. Las Vegas Metro. Police Dep't*, 136 Nev. 28, 36,

458 P.3d 328, 335 (2020) (recognizing that on in camera review, the party must trust the Court's determination).

Fourth, the District Court appropriately rejected Appellants' request to return property so that they could conduct a privilege review. Appellants neglect to cite to any authority under NRS 179.085 that permits them to obtain the return of their property so that they could scrub evidence from such property before allowing law enforcement agencies to conduct a search of the material. And, while Appellants assert that the property contained privileged material, there was no evidence before the Court that specific privileged material did exist on the property. *Superpumper, Inc. v. Leonard, Tr. for Bankr. Est. of Morabito*, 137 Nev. Adv. Op. 43, 495 P.3d 101, 107 (2021) (movant bears the burden as to specific questions or documents, not by making a blanket claim). More importantly, Appellants' request was specifically rejected because LVMPD agreed to a search protocol where it would extract the alleged privileged material based on information Appellants provided to LVMPD. Appellants fail to provide any factual or legal basis as to why the search protocol proposed by LVMPD is insufficient.

In sum, this Court should affirm the District Court's order. Appellants failed to demonstrate good cause to unseal the search warrant applications and affidavits. Furthermore, the evidence before this Court demonstrates probable cause existed

for the issuance of the warrant. Finally, Appellants failed to satisfy their burden that retention of their property is unreasonable under the circumstances.

III. STANDARDS OF REVIEW

A district court's factual findings are reviewed for an abuse of discretion. *In re Guardianship of N.M.*, 131 Nev. 751, 754, 358 P.3d 216, 218 (2015). That is, this Court gives deference to a district court's factual findings and will uphold them so long as they are not clearly erroneous and are supported by substantial evidence. *Weddell v. H20, Inc.*, 128 Nev. 94, 101, 271 P.3d 743, 748 (2012). "Substantial evidence is evidence that a reasonable mind might accept as adequate to support a conclusion." *Id.* (quoting *Whitemaine v. Aniskovich*, 124 Nev. 302, 308, 183 P.3d 137, 141 (2008)). "[Q]uestions of statutory construction, including the meaning and scope of a statute, are questions of law, which this court reviews de novo." *City of Reno v. Reno Gazette–Journal*, 119 Nev. 55, 58, 63 P.3d 1147, 1148 (2003).

IV. FACTUAL BACKGROUND

A. LVMPD CONDUCTS COVERT OPERATIONS AT THE ESTABLISHMENTS.

LVMPD's SIS has the primary responsibility for the enforcement of all federal, state, county, and city laws concerning privileged and regulated businesses in Clark County and the City of Las Vegas. Appellants' Appendix (AA) 000071, ¶

5. Privileged licenses include Erotic Dance establishments and Adult Cabaret's. *Id.* In particular to the instant case, the crime of Advancing Prostitution and Living from Earnings of Prostitution was being investigated in relation to the Appellants' two establishments. *Id.* at ¶ 6.

SIS has conducted numerous criminal investigations of illicit Erotic Dance businesses. *Id.* ¶ 7. Through these investigations, SIS has become familiar with common ways in which these illicit businesses operate. *Id.* Illicit businesses often post suggestive advertisements on adult-oriented websites and print media. *Id.* Erotic dances are offered for an upfront fee, then, during the dance, an act of prostitution is solicited for an additional fee. *Id.* The dances are often conducted in private rooms; however, some are also done in open areas within view of management, other employees, or other patrons. *Id.* The prostitutes working in these establishments are often victims of sex trafficking and are afraid of cooperating with law enforcement. Normally, an individual directs the activities of the prostitutes. *Id.* at ¶ 8. Monies earned are split between the business and the prostitute. *Id.*

1. The Hustler Club.

In January 2022, SIS learned that entertainers had been soliciting for the purpose prostitution within the establishment. AA000072 at ¶ 9. SIS then advised the Hustler Club that an undercover operation was conducted at their establishment

and three females were observed soliciting for the purpose of prostitution. At the same time, SIS provided Hustler Club with its Advancing Prostitution letter. *Id.* at ¶ 10. The letter advised Hustler Club it needed to contact SIS, via email, of the steps taken to prevent this illegal activity. A manager signed the letter, and a copy was left with her. *Id.* at ¶ 11. In March 2022, SIS conducted additional undercover investigations that lead entertainers to solicit an undercover officer for sex. *Id.* at ¶ 12. Subsequently, SIS advised the Hustler Club of the incident and provided it with another Advancing Prostitution letter. *Id.* at ¶ 13.

2. Little Darlings.

SIS was informed that an individual had been sexually assaulted at Little Darlings sometime in November 2021. AA000073 at ¶ 22. In January, SIS conducted an undercover operation where three entertainers within the establishment were observed soliciting for the purpose of prostitution. *Id.* at ¶ 23. Subsequently, SIS advised Little Darlings of this information and provided it with its Advancing Prostitution letter. *Id.* at ¶ 24. The letter advised they needed to contact SIS, via email, of the steps taken to prevent this illegal activity. *Id.* at ¶ 25. In March 2022, SIS conducted additional undercover investigations that lead entertainers to solicit an undercover officer for sex. *Id.* at ¶ 26. Two of the entertainers were cited for soliciting prostitution and released. *Id.* at ¶ 27. Subsequently, SIS once more advised Little Darlings of the incident and provided

it with another Advancing Prostitution letter. The manager at the time advised that she was aware of the two entertainers being cited and confirmed that the two entertainers were still employed by Little Darlings. *Id.* at ¶ 28.

B. LVMPD PROPERLY OBTAINS AND EXECUTES SEARCH WARRANTS FOR THE ESTABLISHMENTS.

These documented events demonstrate a pattern within the business of an accepted culture involving prostitution. AA000071-75. Based on SIS's investigation, including its covert operations, there was probable cause to support the crimes of Advancing Prostitution and Living from Earnings of a Prostitute at both the Hustler Club and Little Darlings.[1] Accordingly, SIS obtained search warrants for both establishments. AA 000016-28. Due to the nature of the electronic devices seized, LVMPD obtained an additional search warrant to access the electronically stored information, including to image and copy the devices. AA000077-78; *see also* AA000080-84; 000088-91.

C. APPELLANTS SEEK TO UNSEAL SEARCH WARRANT APPLICATIONS, QUASH THE WARRANT, AND RETURN OF ITS PROPERTY SO THAT A PRIVILEGE REVIEW COULD BE CONDUCTED.

On April 12, 2022, Appellants' sought relief from the District Court pursuant to NRS 179.085 related to the search warrants that were executed on April 5, 2022. AA000001-49. First, Appellants argued that the search warrants were legally

[1] See Search Warrant Applications and Affidavits provided to this Court in camera.

deficient under NRS 179.085 in that there was no probable cause to justify the seizure of property. AA000007-8. In turn, the lack of probable cause required the District Court to unseal the search warrant applications and affidavits and quash the warrants. *Id.* Likewise, Appellants contended that the lack of probable cause required the return of its property. *Id.* Notably, Appellants recognized that without the unsealing of the applications and affidavits, it was unable to demonstrate the lack of probable cause. *Id.*

In the alternative, Appellants claimed that certain property contained privileged material, including attorney-client and work-product privileged material. AA000008-11. As such, Appellants urged the District Court to enjoin LVMPD from conducting a search of any property until Appellants could scrub the seized property of all privileged material. *Id.* Notably, Little Darlings failed to identify any specific property that contained privileged material. AA000097-128. The Hustler Club only identified an Apple Laptop (retrieved from a separate suit within the Hustler Club, belonging to Go Best), an Apple Macbook Laptop owned by Ralph James, and the personal cell-phone of Andrea Woods. *Id.*

Dated this 18th day of November, 2022.

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CERTIFICATE OF COMPLIANCE

1. I hereby certify that this brief complies with the formatting requirements of NRAP 32(a)(4), the typeface requirements of NRAP 32(a)(5) and the type style requirements of NRAP 32(a)(6) because this brief has been prepared in a proportionally spaced typeface using Times New Roman in 14-point type.

2. I further certify that this brief complies with the page- or type-volume limitations of NRAP 32(a)(7) because, excluding the parts of the brief exempted by NRAP 32(a)(7)(C), it is proportionally spaced, has a typeface of 14 points or more and contains 0 words.

3. Finally, I hereby certify that I have read this brief, and to the best of my knowledge, information and belief, it is not frivolous or interposed for any improper purpose. I further certify that this brief complies with all applicable Nevada Rules of Appellate Procedure, in particular NRAP 28(e)(1), which requires every assertion in the brief regarding matters in the record to be supported by a reference to the page and volume number, if any, of the transcript or appendix where the matter relied on is to be found. I understand that I may be subject to sanctions in the event that the accompanying brief is not in conformity with the requirements of the Nevada Rules of Appellate Procedure.

Dated this 18th day of November, 2022.

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CERTIFICATE OF SERVICE

I hereby certify that the foregoing RESPONDENT'S ANSWERING BRIEF was filed electronically with the Nevada Supreme Court on the 18th day of November 2022. Electronic Service of the foregoing document shall be made in accordance with the Master Service List as follows:

I further certify that I served a copy of this document by mailing a true and correct copy thereof, postage prepaid, addressed to:

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